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Seasonal Dummy Regression — Introduction & Forecasts

Practice Assignment • 10 min

Due Jul 27, 11:59 PM +07

Your grade: 100%

Your latest: **100%** • Your highest: **100%**

To pass you need at least 80%. We keep your highest score.

Next item →

1. **Suppose we are forecasting *House Rent*, and have the following explanatory variables under consideration:** 1 / 1 point

   - **Distance from City – measured in kilometres from the city where no house is further than 25 kilometres from the city.**
   - **City – where the city can be one of 8 cities: Brisbane, Sydney, Canberra, Melbourne, Hobart, Adelaide, Perth, or Darwin.**

   How many binary dummy variables will we need in this regression?

   - (•) 7
   - ( ) 9
   - ( ) 8
   - ( ) 2

   ✓ Nice work

   Yes, this is correct.

2. **Suppose we are forecasting *House Rent*, and have the following explanatory variables under consideration:** 1 / 1 point

   - **Distance from City – measured in kilometres from the city where no house is further than 25 kilometres from the city.**
   - **City – where the city can be one of 8 cities: Brisbane, Sydney, Canberra, Melbourne, Hobart, Adelaide, Perth, or Darwin.**